

Mark Scheme (Results)

Practice Paper (Moderate Level)

Pearson Edexcel GCE

In Economics B (8EB0)

Paper 2: The Wider Economic Environment

General Marking Guidance

- All candidates must receive the same treatment. Examiners must mark the first candidate in exactly the same way as they mark the last.
- Mark schemes should be applied positively. Candidates must be rewarded for what they have shown they can do rather than penalised for omissions.
- Examiners should mark according to the mark scheme not according to their perception of where the grade boundaries may lie.
- There is no ceiling on achievement. All marks on the mark scheme should be used appropriately.
- All the marks on the mark scheme are designed to be awarded. Examiners should always award full marks if deserved, i.e. if the answer matches the mark scheme. Examiners should also be prepared to award zero marks if the candidate's response is not worthy of credit according to the mark scheme.
- Where some judgement is required, mark schemes will provide the principles by which marks will be awarded and exemplification may be limited.
- When examiners are in doubt regarding the application of the mark scheme to a candidate's response, the team leader must be consulted.
- Crossed out work should be marked UNLESS the candidate has replaced it with an alternative response.

Section A

Question Number	Mark
1(a)	(2)
Knowledge/understanding 2 Knowledge/understanding: 2 marks for Income remaining after the deduction of direct taxes (1) and the addition of state benefits (1), available for households to spend or save (1) <i>NB accept any other suitable alternative. Do not award marks for examples</i>	

Question Number	Mark
1(b)	(4)
Knowledge/understanding 1, Application 3 Knowledge/understanding: 1 mark for Formula for unemployment: Number of Unemployed × 100 (1) / Labour force Application: 34,140,000 - 32,837,000 (1) × 100 = 3.82% (1) / 34,140,000 (1) NB if no working is shown award marks as below: - If the answer given is 3.82% award 4 marks - If the answer given is 3.82 award 3 marks - If the answer given is 3.8% award 3 marks - If the answer given is 3.8 award 2 marks	

Question Number	Mark
1(c)	(4)
Knowledge/understanding 1, Application 3 Knowledge/understanding: 1 mark for formula for calculating average real earnings e.g. nominal earnings - rate of inflation (1) Application: 7.2% (1) - 4.6% (1) = 2.6% (1) NB if no working is shown award marks as below: • If the answer given is 2.60% award 4 marks • If the answer given is 2.6% award 4 marks • If the answer given is 2.6 award 3 marks • If the answer given is 2.60 award 3 marks	

Question Number	Indicative content	Mark
1(d)	Knowledge 2, Application 2, Analysis 2, Evaluation 2	(8)
• A low-cost business model is one in which firms aim to keep operating costs to a minimum and pass these savings on to consumers in the form of lower prices. • Consumers benefit from lower prices, which means that more households can afford to access goods and services that may previously have been considered too expensive. • Low-cost gyms such as PureGym have made gym membership more accessible to lower-income households by charging fees of around £15-25 per month. • Consumers also benefit from greater convenience - low-cost gyms typically operate on a 24-hour basis with no long-term contracts. • Many low-cost gyms have increased geographical coverage by opening hundreds of sites across UK towns, reducing travel costs. • However, consumers may face poorer customer service or fewer additional facilities such as swimming pools or saunas. • Consumers in remote areas may still have limited access to low-cost options if the providers focus on densely populated locations. • The quality of equipment or instructor availability may also be lower than at premium operators, which can reduce the value of the service.		

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1-2	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted. Limited attempt to address the question.
Level 2	3-5	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are developed. Judgements may be attempted.
Level 3	6-8	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen. Arguments are developed, using logical, coherent chains of reasoning. A balanced awareness of competing arguments.

Demonstrating application (AO2) in responses

Where questions specifically stipulate the use of data or information provided in a stimulus, students:

- must directly reference, interpret or analyse the information provided in the stimulus
- in addition, may select examples from their own knowledge but these must be relevant and directly connected to the context/issues set out in the stimulus.

Where questions do not specifically stipulate the use of data or information provided in a stimulus, students:

- must select relevant examples from their own knowledge, these must be directly connected to the context/issues set out in the question, and
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Question Number	Indicative content	Mark
1(e)	Knowledge 2, Application 2, Analysis 4, Evaluation 4	(12)
• Rising energy and wage costs represent an increase in the variable costs of production for gym operators. • Energy costs have risen sharply across the UK economy following the rise in wholesale gas prices, with many gym chains reporting that utility bills have more than doubled. • Higher costs are likely to squeeze profit margins, particularly for low-cost gym chains that typically charge low monthly fees and rely on high membership volumes. • Gyms may respond by raising prices, but this risks members cancelling memberships during a cost-of-living crisis when consumers are already cutting discretionary spending. • Alternatively, gyms could cut costs by reducing opening hours, lowering staffing levels or postponing investment in new equipment, but this may damage quality and customer satisfaction. • Rising nominal wages of 7.2% and increases in the National Living Wage will further increase costs for gyms that employ instructors and reception staff. • However, large chains such as PureGym may benefit from economies of scale, allowing them to absorb cost pressures more easily than smaller operators. • The impact may also depend on the type of gym - premium operators may be able to pass costs on to less price-sensitive customers, while budget gyms face greater pressure. • Gym operators with strong digital offerings (e.g. apps, online classes) may be able to differentiate and maintain membership levels despite higher prices. • The overall impact will depend on how long the high cost pressures persist and on the resilience of UK aggregate demand.		

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	0	A completely inaccurate response.
Level 1	1-2	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted. Limited attempt to address the question.
Level 2	3-5	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are presented but with limited attempt to address the question. Comparisons and judgements may be attempted.
Level 3	6-9	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, clear chains of reasoning, with well developed arguments. An awareness of the significance of competing arguments is present although this may lack balance.
Level 4	10-12	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen, logical, coherent chains of reasoning, showing full understanding of the question. Arguments are developed and evaluated. A full and balanced awareness of the validity and significance of competing arguments.

Demonstrating application (AO2) in responses

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Section B

Question Number	Mark
2(a)	(2)
Knowledge/understanding 2 The stages a product goes through (1) from introduction to decline (1) <i>NB accept any other suitable alternative. Do not award marks for examples</i>	

Question Number	Mark
2(b)	(4)
Knowledge/understanding 1, Application 3 Knowledge/understanding: 1 mark for formula for PED e.g. % change in Quantity Demanded / % change in Price (1) Application: +4% (1) / -5% (1) = -0.8 (1) NB if no working is shown award marks as below: If the answer given is -0.8 award 4 marks	

Question Number	Mark
2(c)	(4)
Knowledge/understanding 1, Application 2, Analysis 1 Knowledge/understanding: 1 mark for identifying a benefit e.g. increased production capacity (1) Application: up to 2 marks are available for contextualised answers, e.g. Innocent's new manufacturing site (The Blender) can produce up to 400 million bottles per year (1); Innocent invested £200 million in the site (1) Analysis: 1 mark available for developing the benefit, e.g. by investing in increased capacity, Innocent can produce more smoothies to meet growth in demand, lowering average costs through economies of scale and improving competitiveness (1)	

Question Number	Indicative content	Mark
2(d)	Knowledge 2, Application 2, Analysis 2, Evaluation 2	(8)
- Under-utilisation of capacity is when a firm produces less than the maximum possible output that its facilities allow. - The Blender, Innocent's new manufacturing site, is operating at just 55% of total capacity, which means a significant proportion of resources is unused. - Average fixed costs per unit will be higher because the £30 million annual fixed cost is spread over fewer units of output. - This may reduce Innocent's price competitiveness, particularly against supermarket own-brand alternatives which are priced significantly lower. - Under-utilisation can damage staff morale, as workers may feel that their jobs are insecure if production levels remain low. - Capital tied up in equipment that is not being fully used could have been invested elsewhere, representing an opportunity cost. - However, spare capacity can be useful as it allows the firm to respond quickly to unexpected increases in demand. - Spare capacity could also be used to launch new products, such as Innocent's coconut water or dairy-free milk alternatives. - The implications will depend on whether the under-utilisation is short-term or long-term, and on Innocent's ability to grow sales to fill the spare capacity.		

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	0	A completely inaccurate response.
Level 1	1-2	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted. Limited attempt to address the question.
Level 2	3-5	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are developed. Judgements may be attempted.
Level 3	6-8	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen. Arguments are developed, using logical, coherent chains of reasoning. A balanced awareness of competing arguments.

Demonstrating application (AO2) in responses

Where questions specifically stipulate the use of data or information provided in a stimulus, students:

- must directly reference, interpret or analyse the information provided in the stimulus

- in addition, may select examples from their own knowledge but these must be relevant and directly connected to the context/issues set out in the stimulus.

Where questions do not specifically stipulate the use of data or information provided in a stimulus, students:

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Question Number	Indicative content	Mark
2(e)	Knowledge 2, Application 2, Analysis 4, Evaluation 4	(12)
	• Penetration pricing is when a firm sets a low introductory price to attract consumers when launching a new product. • Innocent is launching its 'Innocent Plus' range at £1.99 per bottle compared with the standard price of £2.99, a discount of around 33%. • The strategy can help to build market share quickly by encouraging consumers to try the new range, particularly in the competitive functional drinks market. • If consumers like the product, they may continue to buy at the higher price point once the introductory offer ends, helping to build customer loyalty. • Lower prices may also help Innocent compete with cheaper supermarket own-brand alternatives, which retail at around £1.50. • However, the low introductory price may attract bargain-hunters rather than loyal customers, who may switch back to cheaper alternatives once prices rise. • Penetration pricing reduces revenue per unit and may damage brand image if Innocent is positioned as a premium product. • Other competitors in the protein drink market may respond by reducing their own prices, sparking a price war that erodes profits across the sector. • Innocent must also be able to meet demand at the lower price - given that its main manufacturing facility is currently under-utilised, this should not be a barrier. • The success of the strategy will depend on whether consumers continue purchasing once prices rise to £2.99, and on the elasticity of demand for the product.	

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	0	A completely inaccurate response.
Level 1	1-2	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted. Limited attempt to address the question.
Level 2	3-5	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are presented but with limited attempt to address the question. Comparisons and judgements may be attempted.
Level 3	6-9	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, clear chains of reasoning, with well developed arguments. An awareness of the significance of competing arguments is present although this may lack balance.
Level 4	10-12	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen, logical, coherent chains of reasoning, showing full understanding of the question. Arguments are developed and evaluated. A full and balanced awareness of the validity and significance of competing arguments.

Demonstrating application (AO2) in responses

Where questions specifically stipulate the use of data or information provided in a stimulus, students:

- must directly reference, interpret or analyse the information provided in the stimulus
- in addition, may select examples from their own knowledge but these must be relevant and directly connected to the context/issues set out in the stimulus.

Where questions do not specifically stipulate the use of data or information provided in a stimulus, students:

- must select relevant examples from their own knowledge, these must be directly connected to the context/issues set out in the question, and
- may directly reference, interpret or analyse the information provided in any relevant stimulus.

Section C

Question Number	Indicative content	Mark
3	Knowledge 4, Application 4, Analysis 6, Evaluation 6	(20)
• Inflation is the sustained rise in the general price level over a period of time, usually measured by the Consumer Price Index (CPI). • Unemployment refers to those who are willing and able to work, actively seeking work but unable to find a job. • The traditional Phillips Curve suggests there is a short-run trade-off between inflation and unemployment - lower unemployment is typically associated with higher inflation. • Raising interest rates to 5.25% reduces aggregate demand by making borrowing more expensive and saving more attractive, which lowers spending across the UK economy. • Lower aggregate demand may reduce inflationary pressure in the short term, but firms facing weaker demand may cut jobs, raising unemployment. • Extract F notes that CBI has warned that the UK economy could fall into recession, and that unemployment could rise sharply if firms cut jobs in response to weaker demand. • Persistent inflation also damages the economy: it erodes real incomes, distorts price signals and reduces the international competitiveness of UK exports. • A wage-price spiral, where workers demand higher pay to keep up with rising prices, can entrench inflation in the economy and make it harder to bring under control. • However, the trade-off may not always apply. If inflation is caused by cost-push factors (e.g. higher energy prices), reducing aggregate demand may not reduce inflation but will still raise unemployment. • Supply-side policies that improve productivity could help reduce both inflation and unemployment simultaneously, weakening the trade-off. • The Bank of England's mandate is to target 2% inflation, so policymakers may prioritise inflation control even at the cost of higher short-term unemployment. • The strength of the trade-off depends on how flexible the UK labour market is and on whether inflation expectations remain anchored. • The trade-off may be more painful for some groups than others: younger homeowners and recent borrowers are hit harder by interest rate rises, while pensioners with savings may benefit. • The overall extent of the trade-off depends on whether the UK economy is operating close to full capacity and on the credibility of monetary policy.		

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1-4	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted, but fail to connect causes and consequences. Limited attempt to address the question.
Level 2	5-9	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are presented, but connections between causes and consequences are incomplete. Limited attempt to address the question. Comparisons, judgements or conclusions may be attempted, but are unsupported or generic.
Level 3	10-15	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, developed chains of reasoning, showing understanding of connections between causes and consequences. Arguments are well developed and partially evaluated. An awareness of the significance of competing arguments is present although this may lack balance. A conclusion may be attempted but may not show awareness of the significance of competing arguments.
Level 4	16-20	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen and fully integrated to support the argument, well developed and logical, coherent chains of reasoning, showing full understanding of the question. Arguments are fully developed and evaluated. A full awareness of the validity and significance of competing arguments, leading to nuanced and balanced comparisons, judgements or conclusions.

Demonstrating application (AO2) in responses

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- may directly reference, interpret or analyse the information provided in any relevant stimulus.